

- a. Good cost information enables management to direct its energies to profitable and those products with the highest potential for profit contribution.
 - b. The cost system should pinpoint where production, marketing, and research costs are inefficient even in sub-parts of the operation.
 - c. Capital conservation through tight control of fixed and working capital investments.
7. A critical finance function is to provide an early learning system to identify influences that could threaten the profit plan sufficiently ahead of time to devise remedial plans to minimize adverse surprises.